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EU AI Act

Italy

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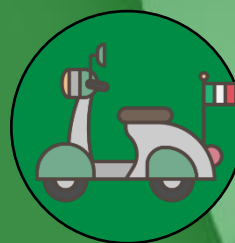
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AI & Partners defends and extends the digital rights of users at risk around the world. By combining direct technical support, comprehensive policy engagement, global advocacy, grassroots professional services, regulatory interventions, and participating in industry groups such as AI Commons, we fight for fundamental rights in the artificial intelligence age.

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Who Are We

AI That You Can Trust

Why Us?

Stay on the right side of history. At AI & Partners, we believe AI should unlock potential—not cause harm. We've seen the fear and fallout when teams lose control of AI, but also the trust and innovation that follow when it's handled responsibly. That's why we exist: to help you build AI you can trust and stand behind—for the long run.

80%

of AI systems
are unknown

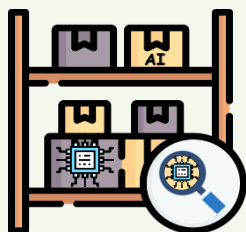
What Do We Do?

We enable safe AI usage—for your organization and your clients. Unknown AI adoption leads to confusion, risk, and reputational damage. We help you take control with tools to identify, monitor, and govern all AI systems—so you're not reacting to AI, you're leading it.

How Do We Do It?

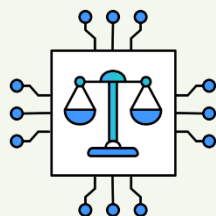
Do you know what AI systems you have? Identify all known and unknown AI systems (algorithms, LLMs, prompts, and models) from all internal and external AI vendors, automated by generating your inventory. Overall, 80% of AI inventory is unknown to our clients.

How do you guarantee ongoing safe AI use? Continuously monitor deployed AI systems for performance drift, anomalies or failures, real-world impacts, and emerging risks (e.g. data poisoning). Any malfunction of an AI system has severe implications for organisations (e.g. inability to assess online misinformation that leads to widespread public mistrust), so monitoring becomes a matter of urgency.



AI Discovery & AI Inventory

Automatically detect all AI systems, including models, algorithms, and prompts, and maintain a live, always-updated register for full visibility and compliance.



Responsible AI

Embed fairness, transparency, and control into every stage of AI use—aligning with the EU AI Act and building 'Trustworthy-by-Design'.



Model Monitoring

Continuously track your AI models after deployment to detect drift, bias, or failure—so you stay in control and prevent harm before it happens.

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Overview

Artificial Intelligence (AI) is rapidly transforming societies and economies worldwide, and Italy is positioning itself to lead responsibly within this technological shift. Embracing AI's transformative potential while addressing emerging societal and ethical risks, Italy has adopted a dual-track, EU-aligned approach to AI governance. Rather than relying solely on prescriptive national legislation, Italy is implementing the European Union's AI Act while advancing its own national AI Bill and institutional infrastructure to ensure transparent, secure, and rights-based AI development.

At the core of Italy's AI governance framework is its alignment with the EU AI Act, supplemented by the proposed "Provisions and Delegations to the Government Concerning Artificial Intelligence" (AI Bill). Approved at first reading by the Senate in March 2025, the AI Bill outlines fundamental principles such as human oversight, transparency, and sustainability, with sectoral applications in justice, labor, public administration, and healthcare. Institutional efforts are supported by strategic programs such as the National AI Strategy (2022–2024) and the Future Artificial Intelligence Research (FAIR) initiative, which foster innovation through a values-driven and multidisciplinary ecosystem.

Italy's governance model integrates regulatory development with cross-sectoral implementation tools—such as sandbox experimentation, cascading funding mechanisms for SMEs, and applied AI research hubs. These are complemented by ongoing guidance from the Italian Data Protection Authority (DPA) and the proposed roles of AgID (Agency for Digital Italy) and ACN (National Cybersecurity Agency), who are expected to contribute to AI compliance and oversight—pending further clarification on institutional independence.

Italy also brings a strong internationalist lens to AI governance. It contributes to EU harmonization, actively engages with the Global Partnership on AI (GPAI), and supports multilateral AI norms through partnerships with bodies like the OECD and ISO. Italian networks such as CAIRNE, ELLIS, and AIXIA amplify Italy's global AI voice, especially on ethical design and human-centric development.

In parallel, Italy's strategic roadmap emphasizes high-performance computing, responsible data ecosystems, and inclusive AI talent pipelines. Projects like PhD-AI.it—a national doctoral consortium—and funding for AI professorships and postdoctoral tracks reflect Italy's commitment to research excellence and international collaboration.

To foster innovation, tools such as the FAIR community, interdisciplinary spokes, and legal design labs are supporting co-creation between academia, industry, and civil society. Italy's use of cascading calls, open innovation platforms, and applied pilot programs further enable responsive and adaptive policymaking.

In sum, Italy's AI strategy blends EU regulation, national legislative initiatives, institutional capacity-building, and global cooperation into a forward-looking AI governance model. With a total AI Readiness Index score of 71.22, and particularly strong performance in Governance (78.64) and Data & Infrastructure (81.88), Italy is emerging as a leader in building a responsible, rights-respecting, and innovation-friendly AI ecosystem within Europe and beyond.





Specific AI Governance or Law

Italy aligns with the EU AI Act as its core AI framework but is advancing a national AI Bill, approved by the Senate in March 2025. The bill complements EU rules with sectoral priorities. Italy's AI Strategy supports research and adoption, while national authorities and regulators will oversee implementation and compliance.

Specific AI Governance in Italy

While the EU AI Act will serve as Italy's central cross-sectoral AI framework, the country is also pursuing a dedicated national AI law through the proposed "Provisions and Delegations to the Government Concerning Artificial Intelligence" (AI Bill). Approved by the Senate in March 2025 at first reading, the AI Bill outlines regulatory principles and sectoral priorities designed to complement the EU AI Act, particularly in areas where national legislation retains competence. Its progression remains subject to parliamentary consensus, reflecting Italy's deliberative approach to foundational AI rules. Italy's broader strategic direction is anchored by the National AI Strategy (2022–2024), which focuses on building domestic AI expertise, boosting AI research investment, and scaling AI adoption in both public administration and the private sector. To implement the EU AI Act and its complementary AI Bill, Italy is expected to take the following key actions: Designating a national supervisory authority for AI oversight, with AgID and ACN currently proposed; Creating implementation decrees for administrative sanctions and compliance requirements; Providing sectoral guidance for health, justice, labour, and scientific research; Coordinating with the Italian DPA and sector-specific regulators to ensure independent oversight;

AI Ethics Guidelines and Sectoral Governance Tools

While Italy does not yet have a legally binding national definition of AI, the current version of the AI Bill references the definition from Article 3(1) of the EU AI Act, aligning national terminology with European standards. Ethical concerns such as transparency, proportionality, fairness, gender equality, and sustainability are explicitly included in Articles 3 to 6 of the draft AI Bill and further echoed in the case law of Italy's highest administrative court. AI-related governance in Italy is shaped by several pre-existing laws, including: The General Data Protection Regulation (GDPR) and Italy's Data Privacy Code; Italian and EU competition law; The Consumer Code and intellectual property law; Judicial precedents on algorithmic transparency and human oversight; Sectoral DPA guidelines on facial recognition, healthcare AI, tax risk AI systems, and deepfakes in the gig economy. Although sector-specific AI laws are not yet in place, these frameworks guide AI development across key domains, such as health, public services, labour conditions, and cybersecurity.

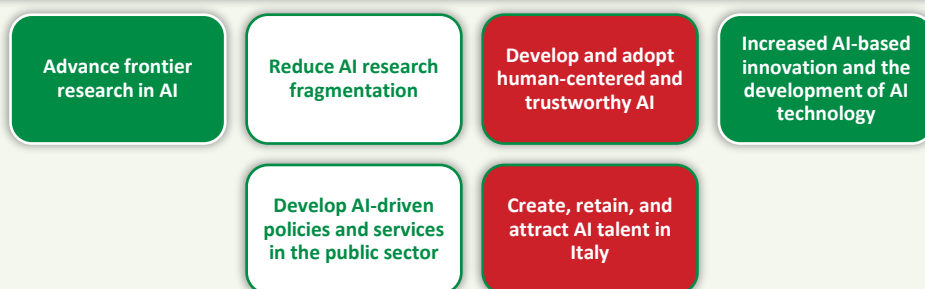
Proposed AI Regulatory Authority and Future Outlook

In preparation for EU AI Act obligations, Italy has proposed the Agency for Digital Italy (AgID) as the notifying authority and the National Cybersecurity Agency (ACN) as the supervisory body for AI systems. However, these designations have drawn scrutiny from the European Commission due to concerns over institutional independence. Amendments are under discussion to involve the Italian Data Protection Authority (DPA), Italian Competition Authority, and Italian Communication Authority in a coordinating role, to ensure legal and structural compliance with EU requirements. In parallel, Italy's DPA has maintained a dedicated AI unit since 2021 and has taken enforcement actions on AI-related data misuse. Other regulators, such as the Bank of Italy, CONSOB, and IVASS, are expected to maintain sectoral oversight as the AI landscape evolves. Italy sees AI not only as a tool for competitiveness, but also as an opportunity to uphold rights-based digital governance. Through a dual strategy of national legislative development and EU harmonization, Italy aims to foster AI innovation that is transparent, lawful, and aligned with public values. The coming year will be pivotal as the AI Bill moves through Parliament and implementation mechanisms for the EU AI Act are finalized.



Discussion: Italy's National AI Strategy

Italy's AI governance approach is grounded in a human-centric, multidisciplinary framework that emphasizes foundational research, ethical design, and inclusive innovation. Anchored in European values and aligned with the EU AI Act, Italy's strategy promotes responsible, trustworthy, and future-oriented AI development. Rather than relying solely on prescriptive regulation, Italy fosters AI through national research ecosystems, cross-sectoral partnerships, and flagship programs such as the FAIR (Future Artificial Intelligence Research) initiative.



Analysis

Italy's AI strategy reflects a deep commitment to building the next generation of AI systems through an integrated model of research, regulation, and innovation. The National Strategic Program on AI (2022–2024) and the FAIR initiative place strong emphasis on AI systems that are not only technically robust but also socially symbiotic, environmentally sustainable, and ethically trustworthy.

While the EU AI Act provides the regulatory foundation, Italy complements it with scientific and institutional mechanisms focused on embedding AI into sectors such as healthcare, justice, public administration, and safety-critical industries. The FAIR initiative acts as a national research partnership, bringing together 27 leading institutions and over 90 companies to shape Italy's AI landscape through ten thematic "Spokes" and seven transversal projects. Italy's strategy embodies the concept of "AI for society," echoing global principles such as the OECD's trustworthy AI framework. It moves beyond technical compliance to explore how AI can enhance democratic agency, promote equitable growth, and avoid exacerbating societal divides. A defining feature of Italy's approach is its emphasis on frontier research for transformative AI, including: Human-centered AI that co-evolves with people and institutions; Green-aware AI that considers environmental impact by design; Bio-socio-cognitive AI that mimics principles of biological and social systems; Edge/exascale AI that functions across micro and macro data infrastructures. These themes are addressed through interdisciplinary collaborations involving law, ethics, neuroscience, engineering, and cognitive science—supported by transversal projects on legal design, autonomy governance, and multimodal learning.

Italy's governance model emphasizes adaptive experimentation, similar to Germany's Reallabore. FAIR fosters regulatory and methodological agility through: Dynamic research consortia addressing crosscutting challenges; Cascading calls to engage startups and SMEs; Pilot programs co-developed with industrial partners; Strategic roadmaps for continuous feedback and innovation alignment. This promotes iterative learning and enables responsive policymaking that reflects both scientific advances and societal concerns.

Another hallmark of Italy's strategy is its systemic embedding of AI across sectors. Through coordinated action, FAIR supports: AI integration in public services, with targeted use cases in healthcare, public administration, and infrastructure. Capacity-building in SMEs, helping smaller firms navigate AI adoption. Benchmarking datasets and open innovation platforms, enhancing national readiness and interoperability. This ensures that AI advances are not confined to elite research labs but are distributed across the broader economy and society.



Italy's Approach to AI Regulation and Governance

Italy has adopted a dual-track approach to AI governance, combining alignment with the EU AI Act with the development of a dedicated national AI framework. While it currently lacks binding national legislation directly regulating AI, Italy is advancing its policy landscape through strategic parliamentary initiatives, sectoral guidance, and institutional engagement that emphasizes responsible innovation and fundamental rights.

1. Regulatory and Strategic Frameworks

Italy's AI governance is embedded in the broader EU legislative context, with the EU AI Act set to become the country's central regulatory instrument. While national rules directly governing AI are not yet in force, the Italian Parliament is advancing a national legislative initiative titled "Provisions and Delegations to the Government Concerning Artificial Intelligence" (AI Bill). Approved by the Senate at first reading in March 2025, the AI Bill outlines principles for transparency, non-discrimination, and human oversight, intended to complement EU-level rules in areas under national competence. Italy's National AI Strategy (2022–2024) identifies three key objectives: developing AI talent and expertise, increasing R&D investment, and fostering AI adoption in public administration and productive sectors. The government emphasizes interoperability with sectoral regulations—particularly in finance, health, and labor—and supports voluntary self-assessment mechanisms for AI system compliance, especially for SMEs.



2. Institutional Support and Strategic Missions

AI policy in Italy is coordinated across multiple institutions. While no fully independent national AI regulator has been designated, the Agency for Digital Italy (AgID) is proposed as the notifying authority, and the National Cybersecurity Agency (ACN) is designated for supervision in cybersecurity-related AI. However, both agencies are under scrutiny for lacking the independence required under EU law. Italy's Data Protection Authority (DPA) plays a central role in shaping AI-related oversight, with a dedicated AI unit active since 2021. The DPA has published multiple sectoral guidelines and is proposed to assume a coordinating role in supervising AI, alongside the Italian Competition and Communications Authorities. Strategically, Italy focuses on the integration of AI in healthcare, public administration, the judiciary, labor, and scientific research, reflecting national priorities outlined in the AI Bill.

3. Standards Development and Global Engagement

Italy is a committed participant in the EU's harmonization process and contributes to shaping AI standards at the European level. Although it is not a lead actor in global standard-setting, Italy's DPA and judiciary have taken principled stances on AI ethics, data privacy, and algorithmic transparency, contributing to broader discussions within the EU and global digital rights forums. Italy also responds to European Commission feedback on AI governance. For instance, the government revised its AI Bill definitions to align with Article 3(1) of the EU AI Act, showing its commitment to coherent terminology and risk-based regulation.





4. Sectoral and Extended Regulatory Approaches

Italy's sectoral governance leverages existing legal frameworks to shape AI deployment. These include:

- GDPR and the national Data Privacy Code
- Competition law, consumer protection, and intellectual property law
- Case law on transparency in algorithmic decision-making (notably a 2019 administrative court judgment)

The DPA has issued opinions on AI in facial recognition, digital health records, initiative medicine, and gig economy deepfakes. The AI Bill is expected to introduce provisions applicable to AI use in the judiciary, national health services, labor conditions, and intellectual professions, aligning AI regulation with established sectoral norms.

5. Fostering Innovation and Indigenous Development

Italy recognizes AI as a strategic enabler of economic competitiveness. While venture capital and deep-tech infrastructure remain limited relative to larger EU economies, government-backed initiatives aim to support AI innovation in academia and SMEs. The AI Bill promotes a system of self-assessment and voluntary guidelines to ease compliance burdens, particularly for small actors. Public-private partnerships and support for research hubs are growing, with a focus on embedding AI in scientific research, industrial processes, and public digital services.

6. AI in Public Sector Transformation

Public administration is a focal area for Italy's AI strategy. The government promotes the integration of AI in public services such as justice, healthcare, and taxation, with oversight from existing authorities. Notably, the AI Bill includes references to the modernization of public services through ethical AI and encourages responsible deployment by emphasizing transparency, accuracy, and human supervision. The DPA and AgID contribute to guidelines and control activities, promoting citizen trust in AI-enabled governance.

7. AI Skills, Education and Inclusion

AI capacity-building is a priority in Italy's national strategy. Emphasis is placed on talent development, workforce training, and upskilling across public and private sectors. Italy seeks to address gaps in AI literacy and proposes interdisciplinary educational initiatives to prepare workers for AI-integrated workplaces. Attention is also given to equity, with initiatives to ensure that digital transformation does not exclude marginalized groups or professions. Future iterations of the national AI strategy are expected to expand on inclusive educational reforms.

8. Infrastructure, Compute and Data Foundations

Italy is strengthening its digital infrastructure to support AI deployment. Broadband and 5G expansion, cloud services, and data interoperability are all policy priorities under the National AI Strategy. Italy is also aligning with EU provisions for text and data mining, data governance, and open data policies—supported by guidance from the DPA and European law. Although regulatory sandboxes are not yet operational, the AI Bill allows for future government decrees to define controlled environments for innovation.





Italy's Approach to Fostering AI Innovation

Italy's AI Strategy builds on its scientific excellence, strong public-private collaboration, and commitment to European alignment to foster responsible, inclusive, and sustainable AI development. The strategy emphasizes trust, human-centric design, and digital sovereignty, aiming to turn Italy into a hub for frontier research and ethical AI applications across society.

1. Unlocking Economic Value through Strategic AI Deployment

Italy is leveraging AI to boost productivity and competitiveness across strategic sectors including manufacturing, agri-food, health, finance, and culture. Through initiatives like Transition 4.0 and tax incentives for AI adoption, Italy supports SMEs in scaling AI solutions while encouraging the creation of high-quality jobs. Specific efforts target the digital transformation of industries and the certification of AI-based products aligned with the EU AI Act, particularly in high-risk domains such as healthcare and finance.

2. Driving Innovation via Research Clusters and Application Hubs

The Italian strategy introduces a hub-and-spoke research model, connecting universities, national research centers, and industries through distributed excellence. Programs like PhD-AI.it, one of Europe's largest AI doctoral networks, and the establishment of AI Research Chairs reinforce foundational and applied AI research. These are further supported by National Centres for High-Performance Computing and new AI research hubs under the NRRP (National Recovery and Resilience Plan).

3. Enabling Trusted and Responsible Data Use

Italy promotes interoperable and secure AI data infrastructures aligned with European frameworks like GAIA-X and the Common European Data Space. National initiatives focus on creating open-access language models and domain-specific datasets for public administration, health, and smart mobility. Ethical AI use is enforced through privacy-by-design principles and transparency mandates, with national guidelines following the EU AI Act and the Ethics Guidelines for Trustworthy AI.

4. Scaling AI in Public Administration

Italy positions AI as a core enabler of digital transformation in government. Initiatives include the creation of interoperable open data lakes, AI-based case processing systems, and language datasets for Italian NLP applications. The public sector also supports AI experimentation through controlled sandboxes like Sperimentazione Italia, and partnerships with GovTech accelerators help match innovative startups with public service challenges.





5. Advancing Compute and Research Infrastructure

Italy integrates its CINECA, INFN, and IIT HPC infrastructures to support AI experimentation and modeling. Investments under the NRRP boost national supercomputing capacity and enable research in key areas such as symbolic reasoning, edge computing, and neuro-symbolic AI. A dedicated AI Research Platform connects these resources with open-source software repositories, enhancing collaboration and technology transfer.

6. Empowering SMEs and Startups

Through funding vehicles like CDP Venture Capital and innovation calls under the 60-40 public-private partnership model, Italy is fostering an ecosystem of AI-driven entrepreneurship. Startups receive support in procurement, regulatory compliance, and internationalization. The goal is to increase the number of AI startups by 30% and their average revenues by 50% domestically.

7. Developing a Future-Ready Workforce

Italy is investing in all tiers of education to strengthen its AI talent pipeline. This includes:

- Expanding the National PhD AI Program
- Integrating AI modules into Istituti Tecnici Superiori (ITS)
- Promoting STEM careers among women
- Training public administration workers in digital and AI skills

These efforts are part of a larger push to address brain drain and attract global AI talent through scholarships and dual appointments.



8. Aligning AI with Sustainability Goals

AI in Italy is recognized as a key enabler of the Green Deal and ecological transition. Projects focus on AI-driven climate modeling, waste management, smart agriculture, and energy efficiency. Environmental sustainability is embedded into AI research priorities and funding criteria, particularly through collaboration with environmental authorities and smart infrastructure projects.

9. Building Public Trust and Ethical AI

Italy adheres to the Ethics Guidelines for Trustworthy AI and embeds ethical safeguards into all policy initiatives. Public campaigns increase awareness of AI risks and obligations, especially among SMEs. Additionally, policies promote gender diversity, territorial inclusivity, and citizen engagement in AI governance, aligning technological progress with democratic values.

10. Shaping Global AI Governance and Standards

Italy is deeply engaged in EU and international AI governance. It contributes to the Global Partnership on AI (GPAI), coordinates with OECD, and plays an active role in ISO standardization. National policies are designed to harmonize with the EU AI Act, while Italian research networks—such as CAIRNE, ELLIS, and AIXIA—ensure that Italy remains a prominent voice in shaping global norms and responsible AI practices.



Figure 1: Summary of key policies for Italy's National AI Strategy



Talent and Skills

Strengthening the national PhD program

Attracting and retaining talents

Strengthening AI skills in the Public Administration

Promoting STEM courses and careers

AI in ITS ("Istituti Tecnici Superiori")



Research

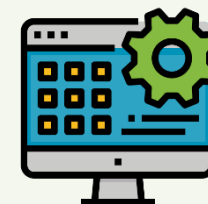
Building on the Italian AI research ecosystem

Launching the Italian AI research data and software platform

Creating Italian AI research chairs

Creating AI-PRIN curiosity-driven initiatives

Promoting multi-disciplinary AI national champions



Applications

Making AI a pillar that supports enterprises' transition 4.0

Supporting the growth of innovative spinoffs and start-ups

Promoting the go-to-market of AI technologies

Supporting enterprises in AI product certification

Promoting AI information campaign for enterprises





DDL 1146 - A Complementary National Framework

The "Provisions and Delegations to the Government Concerning Artificial Intelligence" (AI Bill), represents a fundamental pillar of Italy's approach to AI governance. Approved at first reading by the Senate in March 2025 and modified by the Chamber of Deputies on June 25, 2025, the AI Bill is intended to **integrate and complement** Regulation (EU) 2024/1689 (AI Act). Its progression remains subject to parliamentary consensus, reflecting a deliberative approach to foundational AI rules.

Purpose and Guiding Principles the AI Bill aims to promote a **correct, transparent, and responsible use of artificial intelligence, with a human-centric dimension**. This approach seeks to seize the opportunities offered by AI while ensuring vigilance over economic and social risks and their impact on fundamental rights. The AI Bill explicitly clarifies that it does not introduce new obligations compared to those already foreseen by Regulation (EU) 2024/1689.

The key principles that must guide the research, experimentation, development, and application of AI systems are:

- **Transparency**
- **Proportionality**
- **Safety/Security**
- **Personal data protection and confidentiality**
- **Accuracy**
- **Non-discrimination and gender equality**
- **Sustainability**
- **Human centrality**

Human centrality: Ensuring human oversight and intervention, human autonomy and decision-making power, prevention of harm, knowability, and explainability.

Cybersecurity is recognized as an essential precondition throughout the lifecycle of AI systems. Furthermore, the AI Bill aims to guarantee **full access to AI for people with disabilities**.

Sectoral Areas of Intervention The AI Bill dedicates specific chapters to the application of AI in key sectors, providing targeted guidance and provisions:

- **Healthcare and disability:** AI is promoted to improve the healthcare system, prevention, diagnosis, and treatment, while supporting the development of systems that enhance the living conditions of people with disabilities. Medical decisions always remain with medical professionals.
- **Labor:** AI must improve working conditions, protect workers' psychophysical integrity, and increase productivity, ensuring human dignity and non-discrimination. An Observatory on the adoption of AI in the world of work is foreseen to monitor impact and promote training.
- **Public Administration:** The goal is to increase efficiency, reduce processing times, and enhance the quality of services provided to citizens and businesses, ensuring transparency and traceability in AI use. The final decision always remains with a human.





- **Judicial Activity:** The use of AI is conceived as support for service organization and simplification of judicial work, but every decision on the interpretation and application of law, as well as the evaluation of facts and evidence, is always reserved for the magistrate.

- **Intellectual Professions:** AI is intended as an instrumental and support tool, with the intellectual work of the professional prevailing, ensuring transparency in communication with the client.

- **National Security and Defense:** The AI Bill defines the modalities for employing AI for national security and defense purposes, excluding such activities from the general scope of application but ensuring respect for fundamental rights.

Governance and National Authorities The AI Bill designates the **Agency for Digital Italy (AgID)** and the **National Cybersecurity Agency (ACN)** as **national authorities for artificial intelligence**. Specifically:

- **AgID** is responsible for promoting AI innovation and development, as well as defining procedures and exercising functions related to notification, assessment, accreditation, and monitoring for system compliance.

- **ACN** is responsible for supervision (including inspections and sanctions) and promoting AI for cybersecurity profiles. These designations have been subject to **scrutiny from the European Commission due to concerns over institutional independence**. The AI Bill maintains the market surveillance roles for the Bank of Italy, CONSOB, and IVASS. The role and powers of the **Italian Data Protection Authority (DPA)** and the Italian Communications Authority are also expressly confirmed.

Investments and Promotion of Innovation To support the development of innovative companies in the AI, cybersecurity, and enabling technologies sectors (including quantum technologies), the AI Bill authorizes an overall investment of **up to one billion euros in the form of equity and quasi-equity**. Such investments are directed at SMEs and companies with high development potential, with the aim of promoting the creation of national technological champions. The AI Bill also includes delegations to the Government to define literacy and training pathways on the use of AI systems, and to enhance STEM skills in school and university curricula.

Alignment with the EU AI Act A crucial aspect of the AI Bill is its deep harmonization with Regulation (EU) 2024/1689, from which it draws definitions and principles. Italy, through this AI Bill, aims to **complement European regulations** with national provisions that consider the specificities of its ecosystem, promoting innovation that is transparent, lawful, and aligned with public values.

- The AI Bill represents an ambitious strategic step for Italy, although its full implementation and the overcoming of institutional and SME adoption challenges remain crucial for positioning the country as a responsible leader in the European AI ecosystem.





Digital Decade 2025: Country Report

Although Italy has made notable strides in advancing AI adoption over the past year, uptake among businesses—particularly small and medium-sized enterprises (SMEs)—remains limited and challenging. Surveys have identified three core obstacles for micro and small businesses: technical and operational difficulties, limited business expertise, and restricted investment capacity. Many companies lack the internal frameworks and infrastructure needed to deploy AI effectively and often encounter difficulties in sourcing reliable technology partners. Additionally, barriers such as limited digital culture among executives and resistance to change within the workforce further complicate adoption. High upfront costs, insufficient public support, and restricted access to financing also present significant challenges.

Despite these issues, public interest in AI is on the rise. According to the 2025 Eurobarometer, 87% of Italians believe that public institutions should take the lead in guiding the development of AI and other digital technologies in a way that upholds rights and values. In response, Italy launched several new initiatives in 2024 aimed at encouraging AI adoption, with a strong focus on leveraging its high-performance computing (HPC) capabilities. A flagship initiative is the IT4LIA AI Factory, which builds on the capabilities of Leonardo—a pre-exascale EuroHPC supercomputer hosted at CINECA and ranked among the world's most powerful. This new facility aims to deliver advanced, AI-optimized computing services tailored to support SMEs, start-ups, and key industries such as agriculture, cybersecurity, manufacturing, and earth sciences. Another major development is the establishment of the AI4Industry Foundation in Turin, inaugurated in May 2024. This national AI hub features on-premise HPC infrastructure and access to the Leonardo system. It is designed to close the gap between AI innovators—such as researchers, developers, and start-ups—and end users in both industry and government. Italy is also actively contributing to pan-European AI experimentation and testing networks.

In July 2024, the Italian government unveiled a new AI strategy, which underscores the importance of safe, ethical, and inclusive AI. It lays out practical measures to support enterprise-level adoption, including targeted actions for SMEs, initiatives to grow AI-focused start-ups, and the creation of sector-specific AI labs. Overall, AI is becoming an increasingly important policy focus in Italy, especially in the wake of the country's G7 presidency. While the recent initiatives show strong commitment and align with national strengths in HPC, sustained and well-targeted policies will be necessary to foster broader adoption—particularly within the SME segment. Italy was advised to enhance enterprise-level technology adoption efforts, especially for AI, by addressing barriers and leveraging national strengths. While the country has initiated several relevant actions in 2024, ongoing attention is needed to ensure these initiatives reach all segments of the business community and help position Italy as a future leader in AI.

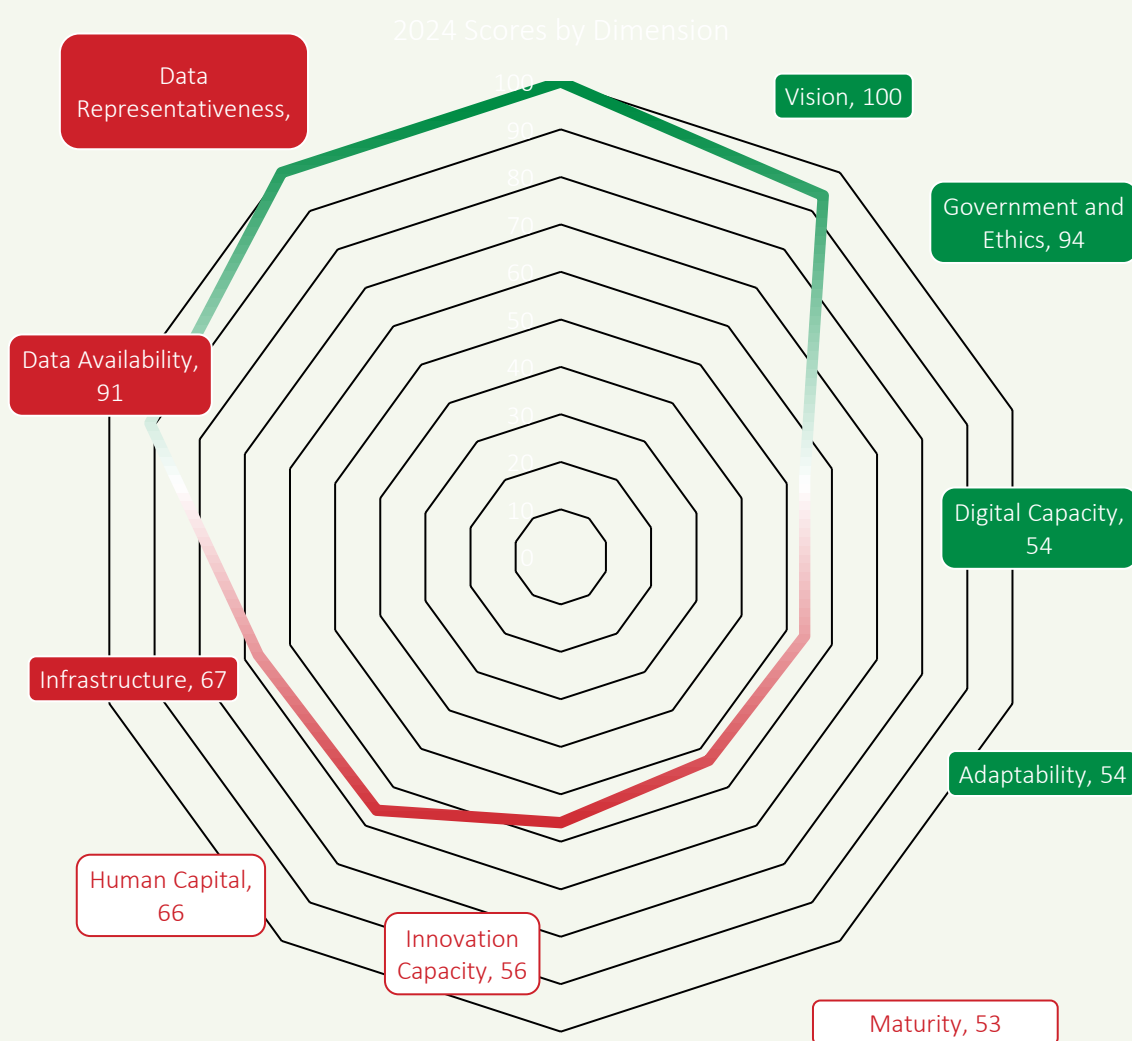
innovation





Government AI Readiness by Oxford Insights

Western Europe ranks as the highest-performing region in this year's Government AI Readiness Index, with five countries in the global top 10. France leads the regional ranking with a score of 79.36, narrowly ahead of the United Kingdom (78.88), followed closely by the Netherlands (77.23), Germany (76.90), and Finland (76.48). With an average regional score of 69.56, Western Europe outperforms the global average (47.59) across all three pillars of Government, Technology, and Data & Infrastructure. The region's standout strength is the Data & Infrastructure pillar, where it averages 81.91, more than 21 points above the global benchmark (59.62), reflecting its advanced digital infrastructure and high-quality data environment. Although a few microstates such as San Marino, Liechtenstein, and Andorra fall slightly below the global average in the Government pillar, Western Europe's dominance at the top of the index underscores its continued leadership in AI readiness.





Government

Italy scores 78.64 in the Government pillar, reflecting its structured yet evolving approach to AI governance. While the EU AI Act will serve as the primary regulatory framework, Italy is also pursuing complementary national legislation through the proposed AI Bill ("Provisions and Delegations to the Government Concerning Artificial Intelligence"), approved by the Senate in March 2025. This draft law outlines principles such as transparency, human oversight, and non-discrimination, and is expected to shape AI deployment in critical sectors including healthcare, justice, labor, and public administration. The Italian Data Protection Authority (DPA) has played an active oversight role, issuing guidance on AI in facial recognition, health data, and algorithmic decision-making. Though Italy has not yet finalized the designation of its AI supervisory authority, proposed roles for the Agency for Digital Italy (AgID) and the National Cybersecurity Agency (ACN) demonstrate Italy's intent to institutionalize AI oversight. Combined with the 2022–2024 National AI Strategy, which emphasizes research funding, AI talent development, and sectoral integration, Italy's governance landscape reflects both ambition and alignment with EU objectives.

Technology Sector

Italy's score of 53.12 in the Technology pillar indicates a moderately developed but still maturing AI innovation environment. The country has a strong academic base and active participation in EU research programs but faces challenges in scaling AI innovation through its private sector and start-up ecosystem. Public-private partnerships and university-led research contribute to foundational R&D, but barriers remain in translating these outputs into commercial success. Initiatives outlined in the National AI Strategy focus on increasing R&D investment and supporting small and medium enterprises (SMEs) in adopting AI technologies. While Italy has growing AI interest in sectors such as manufacturing, health, and scientific research, more targeted funding, improved venture capital access, and policy support for commercialization will be crucial to elevate Italy's technological competitiveness in the European AI space.



Data & infrastructure Sector

With a score of 81.88, Italy performs strongly in the Data & Infrastructure pillar, driven by solid digital connectivity, cloud infrastructure development, and adherence to EU data protection frameworks. National efforts to promote interoperability, secure data sharing, and cloud service adoption are underpinned by guidance from the DPA and strategic alignment with the EU Data Strategy. While regulatory sandboxes are still in planning stages under the AI Bill, Italy is well-positioned to enable experimentation environments for AI within lawful and ethical bounds. Recent policy discussions have emphasized the importance of responsible text and data mining, the protection of personal data in AI training, and ethical uses of data in sectors like healthcare and public services—illustrating Italy's commitment to trusted data governance.



Conclusion

"Italy's artificial intelligence ecosystem stands at a pivotal point—ready to translate recent regulatory progress, institutional investment, and research consolidation into scalable, equitable, and high-impact outcomes. Anchored in the National Strategic Program on AI (2022–2024) and reinforced by the proposed national AI Bill and flagship research initiatives like the FAIR (Future Artificial Intelligence Research) program, Italy has laid the groundwork for an AI model rooted in social responsibility, digital sovereignty, and European values. Programs such as FAIR, PhD-AI.it, and the integration of AI within the National Recovery and Resilience Plan (NRRP) signal Italy's strategic intent to embed AI in public services, economic transformation, and scientific advancement. The government's focus on high-risk sectors—healthcare, justice, labor, and public administration—reflects a deliberate effort to align AI adoption with ethical safeguards and citizen trust.

Nonetheless, structural challenges persist. Italy must improve the commercialization of research outcomes and deepen AI diffusion among SMEs, which still face barriers in accessing financing, talent, and experimentation environments. The national startup ecosystem, while growing, remains fragmented and undercapitalized. Strengthening venture support mechanisms, piloting regulatory sandboxes (as envisioned in the AI Bill), and activating cascading calls for SMEs under FAIR will be critical for bridging this innovation gap. Italy also faces a pressing need to scale up AI infrastructure—from high-performance computing and federated data systems to interoperable platforms for secure and lawful data sharing. Despite strong performance in the Data & Infrastructure pillar of the AI Readiness Index (81.88), full operationalization of open datasets, trusted data spaces, and sectoral cloud solutions remains a work in progress.



Human capital constraints further challenge execution. The expansion of AI professorships, gender-balanced PhD cohorts, and upskilling programs in the public sector are promising steps—but must be sustained and scaled. Aligning educational initiatives with applied AI needs—particularly in neuro-symbolic systems, edge AI, and public-interest technology—will determine Italy's ability to retain talent and close capability gaps. On the regulatory front, Italy's dual-track approach—anchored in the EU AI Act and the proposed AI Bill—shows strong ambition. Yet institutional clarity is still evolving. The designation of competent authorities, including AgID and ACN, must address EU concerns over independence and capacity. Sector-specific regulators and the DPA will need to coordinate closely to ensure proportional enforcement and SME-oriented compliance support.

Italy's participation in global AI governance—through the OECD, GPAI, and engagement with CAIRNE, AIXIA, and ELLIS—positions it as a principled advocate of trustworthy, rights-based AI. As climate, demographic, and geopolitical pressures converge, Italy's emphasis on AI for sustainability, inclusion, and democratic integrity could become a model for aligning digital innovation with societal resilience. Italy has built a solid strategic and institutional base. The next phase demands accelerated, cross-sectoral execution—mobilizing academia, government, SMEs, and civil society in unison. With coherent implementation, decentralized innovation, and proactive international engagement, Italy can not only reinforce its role in the European AI ecosystem but also shape the global discourse on human-aligned and ethically grounded AI systems.

The infrastructure is in place—the imperative now is action.



Appendix A: Expert Vignettes



Alessio Lidozzi ^{IT}

Co-Founder & Partner

PROSPEXIS FZ LLC



Italy's approach to AI is being shaped by its landmark national AI bill, modified by the Chamber of Deputies in June 2025—the first in the EU to align with the AI Act.

“

Italy's new €1 billion AI fund is a powerful catalyst, but its success hinges on an agile national implementation of the EU AI Act. This is the key to building the trust needed to attract the world's best LPs and Partners

”

Biography

Alessio Lidozzi is a Senior Executive with over 25 years of experience in Private Equity, Venture Capital, and global financial markets, having orchestrated over \$10B in transactions. As Co-Founder of Prospexis (prospexis.co), he now pioneers an AI-powered private market intelligence platform, leveraging technology to enhance investment strategy and connect capital with global opportunities.





Valeria Lazzaroli

*President of ENIA – National
Institute for Artificial Intelligence*



“

Italy's AI future lies in predictive, human-centered innovation: blending risk management expertise with social responsibility, while aligning with Europe to build federated infrastructures that safeguard rights, foster trust, and competitiveness globally.

”

Biography

Valeria Lazzaroli is President of ENIA – National Institute for Artificial Intelligence and Chief AI & Risk Officer of a Politecnico di Torino spin-off. A financial engineer and risk manager, she pioneered the use of predictive AI for early-warning systems in finance, insurance, and governance. With degrees in sociology and work psychology, and now pursuing management engineering, she integrates humanistic inquiry with technical rigor. Her constant quest is to design algorithms permeable to context and social needs, ensuring AI remains meaningful, ethical, and people-centered.





Andrea Frosinini

XDC Foundation



“

AI is not just a tool—it is the bridge. For Italian SMEs, it transforms finance into freedom, supply chains into pathways, and ambition into global impact."

”

Biography

Andrea Frosinini, pioneers digital innovation in trade finance, advancing next-generation solutions. He bridges traditional trade with emerging technologies like blockchain, AI, and IoT. A strategic leader, he drives automation, transparency, and interoperability in global finance. His focus: scalable, tech-driven ecosystems that strengthen trust and resilience in trade.



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Cecilia Lascialfari

Area6DoF



Italy boasts the largest number of UNESCO World Heritage sites. Responsibly integrating GenAI into creative sectors, while respecting copyright laws, opens new horizons in academia and enables art to evolve by bridging analog and digital through new technologies.



Biography

Cecilia Lascialfari is the Founder of ARea6DoF an online journal that explores the XR fields specialized into Art and Technology as AI, AR, VR. Cecilia is a GenAI Researcher & Speaker and she participates in many events around the world. She is the *Lead Art & Creativity* of the Women in AI community and is in constant contact with the most important AI Italian Research Institutes and Universities. She creates dynamic artworks that combine Analog Art, with contents created with Generative Artificial Intelligence, enhanced by Augmented Reality, thanks to which the paintings come to life, telling the story behind their creation. She exhibits her works in art exhibitions all over the world. She is the Italian Representative of Artivive, an important AR platform for art, from Vienna, Austria and the organizer of the online events AWE Nite Florence (AWE, "Augmented World Expo", based in the USA - New York, San Francisco, Los Angeles). She has interviewed and collaborated with some of the most important professionals in the XR field.





Bruno Calabretta

DFINITY Foundation



“

Italy's AI law drives innovation while keeping ethics first, protecting privacy, kids, and also going against deepfakes. It's a very much needed human-centered model, paving the way for fair AI growth across Europe.

”

Biography

Bruno Calabretta, is an Entrepreneur with a M.Sc. in Biomedical Engineering and over 9 years of global experience, He is on a mission to drive innovation and positive change through blockchain, AI, and emerging technologies. His is to shape the future of Web3 with bold ideas and real-world impact. He is part of the Internet Computer Protocol (ICP) ecosystem as Head of Ecosystem Hubs at DFINITY Foundation, where he empowers developers and startups worldwide to build a vibrant AI and Web3 ecosystem that can truly shape the future.





Appendix B: Governance Bytes



Arvin Obnasca

Be Ethical



Biography

Arvin Obnasca is a Filipino researcher pursuing industrial doctoral studies in AI Ethics at the University of Sassari (Italy). He is affiliated with BeEthical (France) as an *Analyste en Éthique de l'IA et Normalisation Internationale* and actively contributes to international and European AI standardisation within ISO/IEC JTC 1/SC 42 and CEN-CENELEC JTC 21. He currently co-chairs the Working Group on Use Cases for the UNESCO-endorsed international cross-sector collaborative project, “Future of Work with AI,” and is the secretariat for the Association of AI Ethicists. Arvin holds a BA in Classical Philosophy and an MSc in Innovation and Business.



Newly passed Italian AI Law

Italy approved Law No. 132/2025, the first complete national framework for artificial intelligence in the European Union, on 17 September 2025; it was published in the Official Gazette of the Italian Republic on 25 September 2025, and goes into effect on 10 October 2025. Composed of 28 articles, the legislation implements and supplements the EU AI Act (Reg. 2024/1689), transforming its risk-based strategy into specific national actions in critical areas like healthcare and scientific research, employment, liberal professions, public administration, justice, and copyright. It upholds a human-centered governance approach, requiring openness, monitoring, and responsibility while preventing totally automated judgments in sensitive areas. The Law sets criminal sanctions for damaging applications of AI (including deepfakes and identity fraud), safeguards children, and clarifies copyright regulations, allowing authorship only where there is a significant human creative contribution. The Presidency of the Council of Ministers is responsible for strategic coordination, with assistance from the Interministerial Committee for Digital Transition (CITD), Agency for Digital Italy (AgID), the National Cybersecurity Agency (ACN) which will supervise implementation and compliance, and some sectoral supervisory authorities. Secondary legislation will be enacted within 12 months to improve enforcement and sectoral standards.





AI use in Italian parliaments

The Italian Chamber of Deputies took a forward-thinking approach to government by beginning a major AI effort in 2024 that aims to enhance democratic processes rather than just regulate technology hazards. In a recently published article titled *“Augmented Democracy in Action: AI Systems for Legislative Innovation in the Italian Parliament,”* Luciano Floridi and Anna Ascani examine the three prototype systems that the Chamber of Deputies piloted for legislative analysis, drafting assistance, and citizen engagement. These are 1) NORMA, a virtual assistant that organises and analyses vast amounts of legislative information; 2) MSE (Macchina Scrittura Emendamenti), which dramatically improves the efficiency of drafting precise amendments for lawmakers; and 3) DepuChat, a public-facing chatbot designed to strengthen democratic accountability by providing citizens with intuitive, natural language access to information about parliamentary activities. All three systems are fundamentally built on principles of transparency, human oversight, and privacy-by-design, specifically operating within a “walled garden” of verified, official legislative data, eliminating the risk of AI hallucinations associated with open web data.





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